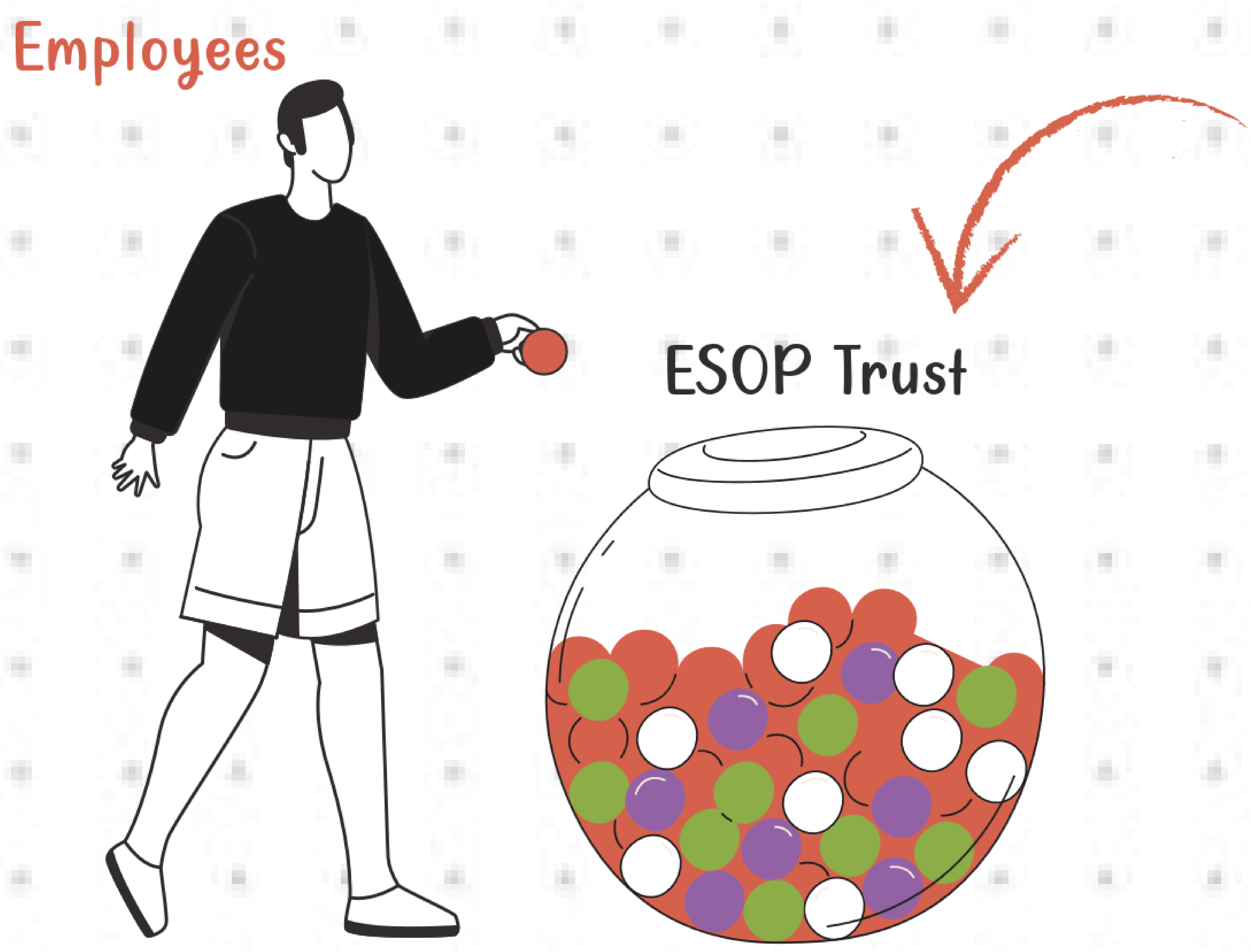
# 3. Key Components of an ESOP

## A. Establishment

A company establishes an ESOP trust. This trust holds company shares on behalf of the employees who participate in the ESOP. They manage and distribute according to the terms of the ESOP.


## B. Contribution

The company contributes shares to the ESOP trust, which are tax-deductible and lower the company's taxable income. These contributions determine the allocation of shares among eligible employees.

## C. Employee Participation

Eligible employees can join the ESOP plan based on specific criteria set by the company. This includes factors like the duration of time and how long the employee has worked. There's usually a minimum period, known as the cliff, before stocks are allocated. If employees leave before the Cliff period ends, they might not receive any benefits. So, this encourages employees to stay and work for them to get the benefits of the ESOP plan.